Cash Book

Dr. Cr.

Date	Particulars	L.F	Amount ₹	Date	Particulars	L.F	Amount ₹
2016 Apr 10	To Sales a/c		60,000				

Sales Account

Dr. Cr.

Date	Particulars	L.F	Amount ₹	Date	Particulars	L.F	Amount ₹
				2016 Apr 10	By Cash a/c		60,000

6.5.3 Receipts from Debtors

When cash is received from customers, a cash memo is issued to the customer and a carbon copy of cash memo is retained by the clerk. Fraud can take place by accounting lesser amount than what is actually received. Sometimes, fraud may occur when payment received from a customer is misappropriated without making entry in the account and later on when cash is received from another customer. This practice is called as "Teeming and Lading of Fraud."

Auditor to overcome such type of fraud, he should verify the sales invoices and counterfoils of the receipt to ensure the amount received against the invoice. Cash received from a customer should be compared with the entries in the cash book and in the customers account. At frequent intervals, the auditor should obtain statement of accounts and confirmation of balances from the debtors and cross check with the entries and balances in the debtors account. He should also ensure that all cash received on account of cash sales should be deposited in the bank on the next day.

Documents to be Vouched: Sales invoices, Counterfoils of cash receipts, Statement of accounts from debtors, Correspondences and confirmations from the debtors and bank statement.

Example:
On 25.10.2016, Received cash from Gopal Bros. for ₹25,000 towards sale made on 20.10.2016.

XI_Auditing_Chapter_6.indd 72 11/11/2020 11:35:08 AM